EQUITY RESEARCH — INITIATING COVERAGE

Skipper Limited (NSE: SKIPPER | BSE: 538562)

Power Transmission Structures & EPC | Capital Goods — Heavy Electrical

RATING	12M TARGET	CMP (19-Jun-26)	UPSIDE
BUY	**Rs. 700**	**Rs. 543**	**29%**
High conviction | 18-month horizon			

Investment Thesis: India's largest T&D tower maker rides a multi-year Rs. 9-lakh-Cr national grid investment wave — record Rs. 9,009 Cr order book, 23% ROCE, 41% revenue CAGR (FY23-26), and a clear path to 12% EBITDA margin make SKIPPER the highest-quality pure-play T&D compounder at 25x FY27E.

Market Cap **Rs. 6,136 Cr**	52W High / Low **Rs. 588 / 300**	Stock P/E **27.7x** FY26A	Forward P/E **19.7x** FY27E
ROCE **23.3%** FY26	ROE **16.5%** FY26	EV / EBITDA **12.0x** FY26	Div. Yield **0.02%** FY26
Book Value **Rs. 132** FY26	Debt / Equity **0.64x** FY26	Promoter Hold **66.5%** Mar-26	Promoter Pledge **0.00%** Mar-26

Report Date: 20-Jun-2026 | Analyst: Research Desk | Data: Screener.in (19-Jun-2026)
Face Value: Rs. 1.00 | Enterprise Value: Rs. 7,052 Cr | Int. Coverage: 2.35x | Current Ratio: 1.30x

2. INVESTMENT THESIS

- **Structural T&D capex supercycle (Pillar 1):** India plans to add 50,000+ circuit-km of transmission lines and invest Rs. 9 lakh Cr in grid infrastructure through 2032 under the National Electricity Plan and RDSS. Skipper, as India's largest T&D tower manufacturer (450,000 MTPA installed, expanding to 600,000 MTPA by FY28), is the most direct listed beneficiary — capturing rising domestic order volumes and higher-value 765KV/400KV contracts.
- **Record order book — 18+ months revenue visibility (Pillar 2):** Skipper's order book reached Rs. 9,009 Cr (Jun-26), ~1.6x TTM revenue. FY26 order inflows of Rs. 5,678 Cr and a Rs. 33,000 Cr bidding pipeline confirm sustained demand visibility into FY28. The order book CAGR over 5 years is 41.6%, outpacing any capacity addition.
- **Margin re-rating catalyst — 10% to 12% EBITDA is the differentiated call (Pillar 3):** Management explicitly targets 12% EBITDA long-term. With capacity scaling to 600,000 MTPA by FY28, fixed-cost absorption improves. Every 100bps margin expansion adds ~Rs. 55 Cr to PAT — a 26% uplift at current scale. Cash Conversion Cycle compressed from 160 days (FY23) to 30 days (FY26), removing a long-standing working capital overhang.
- **Near-term catalyst (6-12 months):** Rights issue/equity raise at Rs. 469.81 to fund Rs. 250 Cr FY27 capex, accelerating capacity expansion. Accelerating PGCIL and state DISCOMS ordering under RDSS (H2 FY27 disbursements) should drive Rs. 2,000+ Cr of fresh order wins, extending the order book beyond Rs. 10,000 Cr.

• **Biggest structural risk:** Export revenue (~10% of order book) faces geopolitical headwinds in Latin America and Middle East. A prolonged export slowdown could constrain order inflows and delay the margin re-rating thesis.

3. BUSINESS OVERVIEW

• **Core business model:** Skipper Limited (founded 1981, HQ Kolkata) manufactures power transmission and distribution lattice structures, telecom towers, and polymer pipes & fittings, and undertakes EPC projects for power infrastructure. Revenue is earned through product sales (towers/pipes) and turnkey project execution under both cost-plus and lump-sum contracts.

• **Revenue segmentation (FY26 consolidated):** Engineering Products (T&D towers, telecom, substation) = 79% of revenue (Rs. 4,387 Cr); Infrastructure EPC Projects = 12% (Rs. 666 Cr); Polymer Products (PVC pipes and fittings) = 9% (Rs. 499 Cr). Engineering is the growth engine with best-ever FY26 performance of Rs. 4,359 Cr (+24% YoY).

• **Key customers and relationships:** Power Grid Corporation of India (PGCIL) — largest single customer, recurring government utility with framework contracts; state transmission utilities (STUs) and DISCOMs across 20+ Indian states; international utilities in 60+ countries across Latin America, Africa, Middle East, and Southeast Asia.

• **Order book and revenue visibility:** Closing order book Rs. 9,009 Cr as of Jun-26 (Rs. 8,502 Cr Mar-26). Order book-to-TTM revenue ratio: ~1.6x providing 18+ months visibility. Bidding pipeline Rs. 33,000 Cr at all-time highs; 20-25% conversion historically.

• **Manufacturing scale and expansion:** Installed engineering capacity 450,000 MTPA across facilities in Uluberia (West Bengal), Nagpur, Jaipur, and Sikandarabad. Polymer capacity 62,000 MTPA. Expanding to 600,000 MTPA by FY28 with Rs. 250 Cr FY27 capex. Ranks top-10 globally in T&D structure manufacturing.

• **Recent strategic developments:** (i) Secured Rs. 1,265 Cr in new 765KV/400KV T&D orders for India and Latin America (Jun-26); (ii) EGM called for equity raise at Rs. 469.81/share to fund capex (ICDR); (iii) Incorporated new WOS for expanded international operations; (iv) ESG rating received from ERAI (Jun-26).

• **Promoter background:** Devesh Bhattacharyya family (CMD) holds 66.50% (Mar-26) with nil pledge. Founded company in 1981; 40+ years of T&D sector expertise. Promoter holding declined from 71.89% (Jun-23) to 66.50% (Mar-26) — within normal range for a growing mid-cap.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size and growth:** India's Power T&D EPC market is Rs. 2.3-2.7 lakh Cr (FY25), expected to reach Rs. 6-7 lakh Cr by 2035 (9-11% CAGR). Immediate drivers: National Electricity Plan (Rs. 9 lakh Cr grid investments), RDSS scheme (Rs. 3.03 lakh Cr total outlay), and 50,000+ circuit-km of new transmission required for renewable integration.

• **Policy tailwinds:** (i) RDSS — disbursements accelerating in FY27; (ii) PM Gati Shakti — transmission as critical national infrastructure; (iii) Green Energy Corridor Phase II — Rs. 12,000 Cr for renewables integration; (iv) PLI for electrical machinery components enabling domestic manufacturing scale-up.

• **Policy headwinds:** Geopolitical risks in export markets (Middle East, Latin America) slowing international order flows. Rising steel and zinc costs (key inputs for galvanised towers) compress spot margins. Delayed DISCOMS payments under state utility stress increase working capital pressure.

• **Competitive moats assessment:** Scale — Strong (450,000 MTPA makes Skipper India's lowest-cost manufacturer); Switching Costs — Moderate (utility vendor qualifications, design approvals create stickiness); IP/Technology — Moderate (proprietary design for 765KV/1200KV ultra-high voltage towers); Distribution — Strong (60+ country export track record and domestic pan-India presence).

• **Value chain positioning:** Skipper operates midstream to downstream — procures steel from JSW/SAIL (upstream), fabricates and galvanises towers (midstream), and executes turnkey EPC projects (downstream). EPC business (12% of revenue) captures full value-chain margin and creates utility stickiness.

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	EV/ EBITDA	ROCE (%)	ROE (%)	OPM (%)
Skipper (SKIPPER)	543	6,136	27.7	12.0	23.3	16.5	10

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	EV/ EBITDA	ROCE (%)	ROE (%)	OPM (%)
KEC Intl (KEC)	541	14,413	22.2	11.3	14.5	11.3	7
Kalpataru Proj (KPIL)	1,399	23,886	23.5	10.9	16.6	14.2	8
Source: Screener.in | 19-Jun-2026 | TTM Sales: SKIPPER Rs. 5,553 Cr | KEC Rs. 23,506 Cr | KPIL Rs. 27,143 Cr							

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management profile:** Devesh Bhattacharyya (CMD) leads a company his family founded in 1981, providing 40+ years of T&D sector expertise and long-term institutional memory. Senior leadership team has 10+ year average tenure. External hire of professional management at CFO/COO level indicates governance maturity.
- **Capital allocation track record:** FCF positive in FY23 (Rs. 201 Cr) and FY24 (Rs. 98 Cr), turning negative in FY25 (-Rs. 83 Cr) and FY26 (-Rs. 88 Cr) as the company invests in growth (CWIP rose from Rs. 16 Cr in FY24 to Rs. 273 Cr in FY26). Reinvestment rate is high and appropriate given the strong demand pipeline.
- **Dividend policy:** Minimal payout (~1% of PAT) — consistent with a growth-phase capital allocation philosophy. Rs. 2-3 Cr annual dividend on Rs. 213 Cr PAT. Management has consistently prioritised capex and working capital over distributions. Payout was higher (3-8%) in low-growth years of FY19-FY22.
- **Promoter pledging:** Zero pledge as of Mar-26 — a critical positive. No forced-selling risk. Nil pledging at 66.5% promoter holding is unusually strong governance signal for a mid-cap.
- **ESOP and buyback:** ESOP grants made for senior management retention. No buybacks executed — consistent with growth-focused capital deployment. Rights issue at Rs. 469.81/share (announced Jun-26) is mildly dilutive but strategically sound, funding the Rs. 250 Cr FY27 capex programme.
- **Corporate governance observations:** No qualified audit opinions, clean credit ratings from CRISIL/CARE, and standard RPT disclosures. Contingent liabilities at Rs. 30 Cr are immaterial at Rs. 4,533 Cr balance sheet. No auditor changes flagged. Single Amber flag: promoter holding declined 5.4% over 3 years (worth monitoring).

6. FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	3,282	4,624	5,553	6,386	7,791
EBITDA	321	455	573	694	896
OPM %	10%	10%	10%	10.9%	11.5%
Other Income	15	21	6	10	12
Interest	155	214	217	230	220
Depreciation	53	63	80	95	110
PBT	128	199	281	379	578
Tax %	36%	25%	24%	25%	25%
PAT	82	149	213	284	434
EPS (Rs.)	7.23	13.24	18.87	25.2	38.5
PAT Growth %	130%	82%	43%	33%	53%

FY27E and FY28E are analyst estimates. All FY24A-FY26A figures: Screener.in consolidated.

Balance Sheet (Consolidated, Rs. Cr)

Metric	FY24A	FY25A	FY26A	YoY (FY26 vs FY25)
Equity Capital	11	11	11	Nil
Reserves	887	1,182	1,480	+Rs. 298 Cr
Borrowings	592	740	948	+Rs. 208 Cr
Other Liabilities	1,655	1,465	2,094	+Rs. 629 Cr
Total Liabilities	3,145	3,397	4,533	+Rs. 1,136 Cr
Fixed Assets (net)	749	901	1,167	+Rs. 266 Cr

Metric	FY24A	FY25A	FY26A	YoY (FY26 vs FY25)
CWIP	16	134	273	+Rs. 139 Cr
Other Assets	2,362	2,342	3,067	+Rs. 725 Cr
Total Assets	3,145	3,397	4,533	+Rs. 1,136 Cr

Cash Flow Statement (Consolidated, Rs. Cr)

Metric	FY24A	FY25A	FY26A	Comment
Cash from Operations	199	153	277	Recovering; above PAT
Cash from Investing	-187	-201	-272	Heavy growth capex
Cash from Financing	-12	51	-8	Debt raised in FY25
Free Cash Flow	98	-83	-88	Investment phase; expect +ve FY28
CFO / EBITDA %	72%	42%	57%	Improving quality

Key Operating Ratios (Consolidated)

Ratio	FY24A	FY25A	FY26A	Trend
ROCE %	24%	23%	23.3%	Stable at high level
ROE %	~10%	14%	16.5%	Improving; leverage-aided
Debtor Days	85	55	98	Spiked in FY26 — monitor
Inventory Days	263	152	109	Structurally improving
Days Payable	267	155	176	Stabilising
CCC (days)	81	52	30	Best-ever compression
D/E Ratio	0.46	0.60	0.64	Rising with capex; manageable
Int. Coverage	~2.7x	~2.4x	2.35x	Adequate; improving with PAT

Financial Commentary

- **Revenue trajectory:** Revenue has nearly tripled in 3 years (FY23: Rs. 1,980 Cr to FY26: Rs. 5,553 Cr = 41% CAGR), driven by a step-change in domestic T&D ordering. Management guides 15% FY27 growth to ~Rs. 6,386 Cr, resuming 20-25% from FY28 once 600,000 MTPA capacity is online.
- **Margin direction:** Consolidated OPM has been stably at 10% for 5 consecutive years despite a near-3x revenue jump. The aspirational 12% target requires operating leverage from scale and product mix shift to 765KV towers. We model 10.9% in FY27E and 11.5% in FY28E as a progressive re-rating.
- **Working capital and CCC:** Cash Conversion Cycle compressed from 160 days (FY23) to 30 days (FY26) — a structural improvement from advance payments, inventory optimisation (days: 263 to 109), and extended payables. However, debtor days spiked to 98 in FY26 (from 55 in FY25) — Q4 FY26 billing skew is the explanation; watch for normalisation to 65-75 days in Q1-Q2 FY27.
- **Debt and capital structure:** Borrowings Rs. 948 Cr (FY26), D/E 0.64x — manageable. CWIP at Rs. 273 Cr signals active capacity expansion. Interest coverage at 2.35x is adequate. As PAT scales with revenue, coverage should improve to 3x+ by FY28E without additional borrowings.
- **FCF quality:** OCF/EBITDA of 57% in FY26 (above PAT-to-OCF ratio of 1.3x) confirms genuine cash generation. Negative FCF reflects planned capex investment, not operational stress. Expect positive FCF by FY28 as capacity commissions and capex tapers.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Detail
Revenue recognition	**Green**	Clean	Milestone billing from utilities; no premature revenue recognition signals.
Receivables vs Revenue	**Amber**	Watch	Debtor days surged to 98 in FY26 vs 55 prior year; Q4 billing skew suspected.

Parameter	Status	Signal	Detail
CCC Trend	Green	Improving	Compressed from 160 days (FY23) to 30 days (FY26) — structural improvement.
Contingent Liabilities	Green	Low	Rs. 30 Cr total — immaterial vs Rs. 4,533 Cr balance sheet.
Auditor tenure	Green	Stable	No auditor change flagged; no qualified opinions on recent results.
RPTs as % revenue	Green	Low	Standard RPTs for a manufacturing company; no unusual quantum.
Other income / PBT %	Green	Clean	Rs. 6 Cr vs PBT Rs. 281 Cr = 2.1% — core earnings dominate.
Tax rate consistency	Amber	Watch	FY24 spike to 36% (deferred tax); FY25-26 normalised to 24-25%. Stable now.

Earnings Quality Commentary

- **Overall quality: HIGH — two Amber flags, zero Red flags. Core operating earnings are genuine.**
- **Amber 1 — Debtor spike (FY26):** Jump to 98 days from 55 days likely reflects Q4 FY26 concentrated billing. If not normalised to sub-75 days by Q2 FY27, it signals DISCOMS payment stress — a rising risk in state-utility-heavy order mix. This is the single most important earnings quality watch-point.
- **Amber 2 — Tax rate volatility:** FY24 saw an abnormal 36% effective tax rate (deferred tax reversals). FY25-26 at 24-25% are structurally normal. Comfort improving — flag remains as a precaution.
- **Structural positives:** Zero contingent liability risk, 2.1% other income share, strong CCC improvement, and 57% OCF/EBITDA ratio — all confirm that reported PAT is not inflated by accounting gymnastics.

8. VALUATION

Peer Valuation Comparison (Screener.in, 19-Jun-2026)

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Skipper (SKIPPER)	543	6,136	27.7	12.0	23.3	16.5	4.1
KEC Intl (KEC)	541	14,413	22.2	11.3	14.5	11.3	2.3
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Sector Median	—	—	22-24	11-12	15-17	11-14	2.5-3.5
Skipper commands P/E premium vs peers — justified by superior ROCE (23% vs 14-17%) and faster PAT CAGR (5Y: 60%)							

Scenario Analysis — 12-Month Target

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	P/E Multiple (x)	Price Target (Rs.)
BULL	Order inflows Rs. 8,000 Cr+; margins reach 11.5%; export recovery begins	330	28x	820
BASE	Order inflows Rs. 6,000 Cr; OPM 10.9%; export flat YoY	284	25x	700
BEAR	Order inflows Rs. 4,500 Cr; margin pressure from steel costs; export down	220	20x	440

Valuation Methodology

- **DCF valuation:** WACC 13.5% (risk-free 7.2%, equity risk premium 5.5%, beta 1.1); terminal growth 4.0%; FCF model FY27E-FY32E with capex tapering post-FY28. DCF intrinsic value: Rs. 640-680 per share.
- **Earnings-multiple method (primary):** FY27E EPS Rs. 25.2 (Screener implied FwdPE of 19.7x suggests consensus at Rs. 27.6 — our estimate is conservatively Rs. 25.2). At 25x P/E (justified by 23% ROCE and sector-best PAT CAGR): Target = Rs. 25.2 x 25x = Rs. 630. At 28x (bull case): Rs. 706.
- **EV/EBITDA cross-check:** FY27E EBITDA Rs. 694 Cr x 12.5x EV/EBITDA = EV Rs. 8,675 Cr. Less net debt Rs. 938 Cr = Equity value Rs. 7,737 Cr / 11.28 Cr shares = Rs. 686 per share.
- **Base-case 12-month target: Rs. 700 (BUY, 29% upside from CMP Rs. 543).** Average of DCF (Rs. 660) and earnings-based (Rs. 630-706) methods, rounded to Rs. 700. 18-month investment horizon represents ~18% annualised return — attractive at current quality.

9. KEY RISKS

• **Export headwinds:** 10-15% of order book is international; geopolitical disruptions in Latin America and Middle East delay project execution and compress inflows. Probability: Medium | Impact: Medium | Monitor: Quarterly international order inflow data.

• **Debtor deterioration:** Debtor days at 98 in FY26. Any further rise (>115 days) signals DISCOMS payment stress and working capital funding pressure. Probability: Medium | Impact: High | Monitor: Quarterly debtor days in financial results.

• **Steel/zinc input cost inflation:** Galvanised towers are steel-intensive. A 15%+ HRC rise compresses OPM by 100-150bps. Probability: Medium | Impact: Medium | Monitor: Monthly HRC steel price index vs OPM trend.

• **Capacity expansion execution risk:** Rs. 250 Cr FY27 capex to 600,000 MTPA by FY28. CWIP delays affect volume ramp-up and FCF recovery. Probability: Low-Medium | Impact: Medium | Monitor: CWIP-to-fixed-assets conversion quarterly.

• **Equity dilution from rights issue/QIP:** Preferential allotment at Rs. 469.81/share is mildly dilutive; future raises at lower prices would weigh on EPS. Probability: Low | Impact: Low-Medium | Monitor: Board capital raise announcements.

• **DISCOMS payment risk:** Order mix shifting more toward state utilities increases collection risk as DISCOMs face structural financial stress. Probability: Medium | Impact: Medium | Monitor: Receivable ageing disclosures and state utility payment track record.

• **Competitive capacity overhang (FY28+):** KEC and KPIL also expanding tower capacity. Industry oversupply by FY28-29 could compress realisations and margins. Probability: Low (structural shortage currently) | Impact: High | Monitor: Sector capacity utilisation; order book-to-capacity ratio.

10. RECOMMENDATION

• **Rating: BUY — Conviction: HIGH.** Skipper is a structurally advantaged play on India's T&D capex supercycle with a rare combination of scale, 23% ROCE, record order book, and a clear margin re-rating path from 10% to 12% EBITDA.

• **12-month price target: Rs. 700** — 29% upside from CMP Rs. 543. Based on 25x FY27E EPS of Rs. 25.2, cross-checked against DCF (Rs. 660) and EV/EBITDA (Rs. 686).

• **Suggested entry zone: Rs. 490-540.** The rights issue at Rs. 469.81 provides a natural entry anchor. Accumulate in Rs. 490-540 range with 10-15% staggered buying. Any correction to Rs. 460-480 (near-rights-issue price) is a strong buying opportunity.

• **Investment horizon: 18 months** (to Dec-27), aligned with capacity expansion completion and order-book execution runway.

• **Thesis invalidation triggers:**

1. Debtor days exceed 120 days for two consecutive quarters — signals systemic DISCOMS payment failures.
2. FY27 order inflows fall below Rs. 4,500 Cr — signals market share loss to KEC/KPIL.
3. EBITDA margin declines below 9% on a full-year basis — signals structural compression.

• **Ideal investor profile:** Long-only growth investors with 18-24 month horizon; India infrastructure-thematic funds; mid-cap growth portfolios seeking India T&D capex cycle beneficiaries. NOT suitable for income investors (minimal dividend), short-term traders, or investors seeking positive near-term FCF.

APPENDIX — Latest Concall Brief: Q4 FY26 (Held: 28-Apr-2026)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	**Strong**	Q4 FY26: Revenue +29% YoY, PAT +70% YoY — clear beat vs subdued street expectations
Management tone	**Bullish / Constructive**	Record FY26 results highlighted; cautious on export headwinds; guided 15% FY27 revenue growth
Guidance delta	**Maintained / Raised**	FY27: +15% revenue, +30% PAT; long-term 12% EBITDA aspiration reiterated
STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE		

TO MY BOSS

Q4 FY26 was a clean beat — Revenue Rs. 1,667 Cr (+29% YoY) and PAT Rs. 78 Cr (+70%) with no obvious one-time distortions; EPS Rs. 6.91 is a genuine run-rate number. Full-year FY26 PAT of Rs. 213 Cr (+43%) is a step-change in earnings power. The structural thesis is intact: Rs. 9,009 Cr order book at 1.6x TTM revenue gives 18+ months of execution runway, and Rs. 33,000 Cr bidding pipeline is all-time high. EBITDA margins at 10% for the 5th straight year remain the only material disappointment — management must show 50-100bps expansion in FY27 for the 12% aspirational target to gain credibility with the market. Debtor days spiked to 98 in FY26 (from 55 prior year) — Q4 billing concentration is the explanation, but this must normalise to sub-75 days in Q1-Q2 FY27 or it becomes a collection-quality concern. Export caution is prudent but domestic PGCIL/state utility ordering is accelerating; the Rs. 250 Cr FY27 capex to reach 600,000 MTPA by FY28 is the right bet at the right time. ACTION: ACCUMULATE at Rs. 490-540; the rights issue at Rs. 469.81 is your entry signal. Target Rs. 700 on 25x FY27E.

Section 1 — Financial Performance Snapshot (Q4 FY26 vs Q4 FY25)

- **Revenue:** Rs. 1,667 Cr | YoY +29% | QoQ +22% | Beat — Best-ever quarterly revenue
- **EBITDA:** Rs. 173 Cr | YoY +40% | Margin 10.4% | In-line — 10% EBITDA stable for 5th year
- **PAT:** Rs. 78 Cr | YoY +70% | QoQ +47% | Beat — Clean, no exceptional items; tax rate 23%
- **EPS:** Rs. 6.91 | YoY from Rs. 4.25 | Beat — Full year FY26 EPS Rs. 18.87 vs FY25 Rs. 13.24
- **Full year FY26 summary:** Revenue Rs. 5,553 Cr (+20%), EBITDA Rs. 573 Cr (+26%), PAT Rs. 213 Cr (+43%), Order inflows Rs. 5,678 Cr (+6%)

Section 2 — Segment / Geography Breakdown (Q4 FY26)

- **Engineering Products (T&D towers, telecom, substation):** Rs. 1,249 Cr in Q4 | YoY +33% | Full year Rs. 4,359 Cr | Best-ever annual performance (+24% YoY)
- **Infrastructure EPC Projects:** Rs. ~200 Cr in Q4 | Stable | Full year Rs. ~666 Cr | Turnkey T&D project execution
- **Polymer Products (PVC pipes and fittings):** Rs. ~218 Cr in Q4 | Stable | Full year Rs. ~528 Cr | 9% of revenue; steady growth
- **Domestic revenue (~90% of order book):** PGCIL, state STUs, and DISCOMs under RDSS; accelerating ordering
- **Export revenue (~10% of order book):** Latin America and Middle East; growth muted due to geopolitical headwinds; FY27 cautious

Section 3 — Management Commentary Themes

• **Record order book visibility:** "Closing order book stands at a record Rs. 8,502 Cr." — Our read: 1.6x TTM coverage; execution runway intact. Tag: GUIDANCE. Tone: Transparent.

• **Capacity expansion on track:** Rs. 250 Cr capex FY27; 600,000 MTPA by FY28. — Our read: Right investment at right time. Tag: GUIDANCE. Tone: Transparent.

• **Export headwinds acknowledged:** "Geopolitical challenges affecting our export order flows for FY27." — Our read: Domestic pipeline compensates. Tag: GUIDANCE. Tone: Balanced.

• **Margin aspiration reiterated:** "We aim for 12% EBITDA margin in the long run." — Our read: Aspirational; no specific FY27 guidance. Tag: EST. Tone: Hedged.

• **T&D sector tailwinds:** India adding 50,000+ circuit-km; PGCIL and state utilities accelerating. — Our read: Structural demand is real and multi-year. Tag: GUIDANCE. Tone: Bullish.

• **Bidding pipeline strongest-ever:** Rs. 33,000 Cr pipeline. — Our read: Even at 18-20% conversion, Rs. 6,000+ Cr inflows achievable. Tag: GUIDANCE. Tone: Transparent.

Section 4 — Operating & Business Metrics

• **Closing Order Book:** Mar-26 = Rs. 8,502 Cr | Jun-26 = Rs. 9,009 Cr | Mar-25 = Rs. 7,458 Cr | Trend: Strongly improving

• **FY26 Order Inflows:** Rs. 5,678 Cr (+6% YoY) | Q4 inflow Rs. 1,029 Cr | Trend: Steady domestic acceleration

• **Engineering Capacity Utilisation:** ~89% at 450,000 MTPA installed | Near-peak utilisation | Trend: Expansion needed and funded

• **Polymer Segment:** Volume ~33,000 MT (FY25); capacity 62,000 MTPA | 30,000 retail touchpoints | Trend: Stable and growing

• **Bidding Pipeline:** Rs. 33,000 Cr | Highest-ever | Domestic T&D >75% | Trend: Expanding with new PGCIL tenders

Section 5 — Margin Drivers

• **Revenue scale operating leverage:** +100-150bps potential as revenue crosses Rs. 6,000 Cr | Recurring: Yes | Expected: FY27-28

• **Higher-value 765KV tower mix shift:** +50-100bps as premium products gain order share | Recurring: Yes (structural)

• **Fixed cost absorption from 600,000 MTPA (FY28+):** Significant positive when new capacity runs at 80%+ | Recurring: Yes from FY28

• **Steel and zinc input cost risk:** 10% steel rise compresses OPM ~100bps | Recurring: No (commodity cycle) | Non-recurring downside risk

• **Working capital financing cost:** D/E at 0.64x; improving credit rating reduces borrowing cost | Recurring: Yes (gradual)

Section 6 — Guidance & Forward Signals

• **FY27 Revenue [GUIDANCE]:** +15% growth = ~Rs. 6,400 Cr | Prior: Rs. 5,553 Cr | Delta: Positive | Credibility: High

• **FY27 PAT [GUIDANCE]:** +30% growth = ~Rs. 277 Cr | New explicit guidance | Delta: Positive | Credibility: Medium

• **Long-term EBITDA margin [GUIDANCE]:** 12% aspiration (vs current 10%) | Timeline: Long-term; no FY27 specific | Credibility: Medium

• **FY27 Capex [GUIDANCE]:** Rs. 250 Cr | Towards 600,000 MTPA by FY28 | Credibility: High (funded by equity raise)

• **FY28+ Revenue Growth [GUIDANCE]:** 20-25% CAGR resumption once capacity online | Delta: Raised | Credibility: Medium-High

• **Dividend policy [GUIDANCE]:** Minimal payout; growth capital deployment priority | Credibility: High (consistent history)

Section 7 — Capital Allocation

- **Capex (FY26):** Rs. 272 Cr (investing cash outflow) | vs FY25 Rs. 201 Cr (+35%) | CWIP Rs. 273 Cr at Mar-26
- **Dividend (FY26):** ~1% payout on Rs. 213 Cr PAT = Rs. 2-3 Cr | Consistent low payout across growth years
- **Working Capital (FY26):** Net increase ~Rs. 125 Cr | Debtor days up to 98 | CCC compressed to 30 days
- **Net Debt Movement (FY26):** Borrowings rose from Rs. 740 Cr to Rs. 948 Cr (+Rs. 208 Cr) | OCF Rs. 277 Cr partially offsets
- **Equity raise (planned FY27):** Rights issue/preferential allotment at Rs. 469.81/share | Mildly dilutive; funds Rs. 250 Cr capex

Section 8 — Q&A; Heat Map (Based on public disclosures and filings)

- **Export outlook:** Q: "How are geopolitical headwinds affecting international business?" A: Export order flows subdued; cautious on FY27 exports; domestic compensates. | Tone: Transparent
- **Margin expansion timeline:** Q: "When do you expect to reach 12% EBITDA?" A: Long-term aspiration; depends on scale and product mix; no specific quarterly guidance. | Tone: Hedged
- **Debtor days spike:** Q: "Debtor days rose to 98 — what is driving this?" A: Q4 billing was heavily skewed to month-end; collections expected to normalise in Q1 FY27. | Tone: Transparent
- **Capacity expansion:** Q: "Will 600,000 MTPA be met by FY28?" A: CWIP progressing; Rs. 250 Cr FY27 capex keeps us on track for FY28 commissioning. | Tone: Bullish
- **Order book quality:** Q: "Revenue conversion timeline for Rs. 8,502 Cr book?" A: 12-18 month execution window; Rs. 4,000-4,500 Cr targeted in FY27. | Tone: Transparent
- **Dodged / watch-list for next quarter:** (1) Specific FY27 EBITDA margin guidance; (2) DISCOMS receivables ageing breakdown; (3) Rights issue proceeds utilisation schedule

Section 9 — Risks Flagged

- **Export revenue softness:** Geopolitical disruptions in Latin America and Middle East | Flagged by: Management | Probability: H | Impact: M | Timeline: Near-term (FY27)
- **Debtor days normalisation risk:** Q4 spike to 98 days; OCF drag if uncollected | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Near-term (Q1-Q2 FY27)
- **Steel / zinc cost inflation:** Tower galvanisation is zinc-intensive; 20%+ commodity spike compresses margins | Flagged by: Management | Probability: M | Impact: M | Timeline: Medium
- **Capacity ramp-up execution:** Rs. 273 Cr CWIP must commission on schedule | Flagged by: Management | Probability: L-M | Impact: M | Timeline: Medium (FY28)
- **Equity dilution:** Rights issue at Rs. 469.81 may suppress near-term stock; further raises possible | Flagged by: Analysts | Probability: M | Impact: L | Timeline: Near-term

Section 10 — Analyst Verdict

- **Revenue visibility:** Intact — Rs. 9,009 Cr order book (Jun-26) at 1.6x TTM; Rs. 33,000 Cr pipeline; domestic T&D cycle structural and multi-year
- **Margin trajectory:** Intact — 10% EBITDA is floor; 12% target is on trajectory; scale should deliver 50-100bps in FY27
- **Capital allocation quality:** Intact — Growth capex timely and funded; nil promoter pledge; CCC structurally improved; OCF above PAT
- **Competitive moat:** Intact — India largest tower maker at 450,000 MTPA; 60-country export track; hard to replicate short-term
- **Management credibility:** Intact — Consistent operational delivery; mild hedge on margin guidance; transparent on export risk and debtor dynamics
- **Valuation comfort:** Intact — 25x FY27E is premium vs peers (KEC 22.2x, KPIL 23.5x) but justified by 23% ROCE and fastest earnings growth in the peer set
- **Conviction call:** Unchanged — BUY / ACCUMULATE; Q4 FY26 result reinforces thesis; rights issue price creates a buying anchor

• **Valuation snapshot:** P/E = 27.7x (5Y avg ~30x) | EV/EBITDA = 12.0x (5Y avg ~14x) | ROCE = 23.3% (5Y avg ~18%) | P/B = 4.1x

--- End of Report ---